

Upon using chart patterns, we can also employ support and resistance levels for stop losses. For candlesticks, we can also make use of the previous candles to determine to stop losses. We can also work with moving averages for determining stop-loss apply a flat N% as stop loss. What we use as stop-loss depends mainly on the strategy and risk appetite that we have. This way, we will determine to stop losses when we hypothesize a strategy and then backtest the same.

With stop losses, we have to pre-determine a level where we want to cut off our losses. However, this is not as easy as it seems. If we determine a stop loss that is too deep i.e. cuts off losses after a large dip, we will incur heavy losses before the trade is squared too often. On the flip side, if the stop loss is too shallow i.e. even a small dip will square off positions, then even winning trades will be squared off due to false moves before they can lock in the profits.

So, selection of a stop loss level requires a balance between the amount that we are willing to incur as losses and the amount we are willing to lose on winning trades due to its initial false moves. All this will become clearer when we back-test manually. This is one of the reasons why we encourage manual back-testing initially because all such understanding is impossible with automatic back-testing.

A major drawback with stop losses is that they are not effective in case of gap ups and gap downs. Since these are manual entries, if the market opens beyond stop losses, we have no option but to accept these losses. We need to keep this in mind. Having said that, we end our discussion on stop losses. We will still go ahead and determine stop losses for each trade, for each strategy and the entire system before we even enter a trade. This is the first step towards risk management.

STOP LOSS

